Pinsionaries:

Innovating Pinterest's Creator Program

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Introduction and Problem Overview

1. **Introduction**
2. **Problem Overview**
3. **Revenue Opportunity**
4. **In-House Affiliate Program**
5. **User Experience and Trust**

- Pinterest is a **visual discovery** platform
- Over 537M monthly users, with Q3 2024 revenue growing
- Classified as a “Star” in the BCG Growth Matrix

- Users often complete purchases on external platforms like LTK or ShopMy
- Current lack of an integrated in-house affiliate program

- 55% of Pinterest users view the platform as a shopping destination
- Strengthen Pinterest’s position
- Creator tools

- Link generator
- Automate link creation and tracking
- Competitive commission rates and intuitive interfaces

- Transparent policies
- Ensure smooth integration
- AI to optimize product recommendations

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Introduction and Problem Overview

Competitive Differentiation

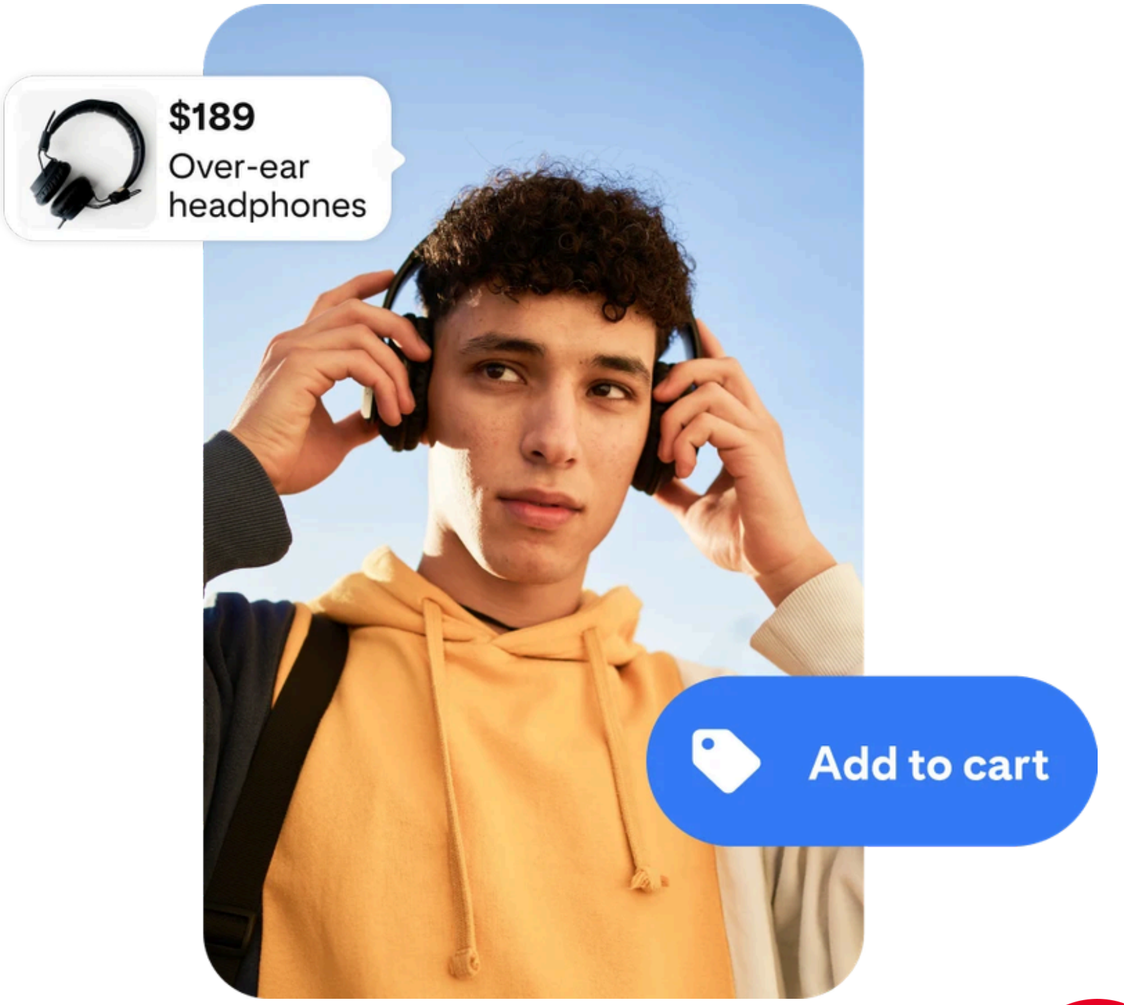
- Learn from TikTok's e-commerce integration
- Emphasize a creator-centric approach
- Pinterest's unique merging of inspiration, creativity, and shopping

Implementation Roadmap

1. Development
2. Testing
3. Scaling
4. Marketing

Expected Outcomes

- Recaptured revenue previously lost
- Creator satisfaction
- Strengthened positioning



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Pinterest Presently

- No-current in-house affiliate link program
- Currently permits use of affiliate links, but external, most prominently through ShopMy and LTK
- **Revenue Challenges**:
  - Third-Party Affiliate Networks
  - Embedding Links in Pins
  - Tracking and Payments
- **Creator Challenges**:
  - Fragmented Workflow
  - Commission Variability
  - Limited Integration Capabilities



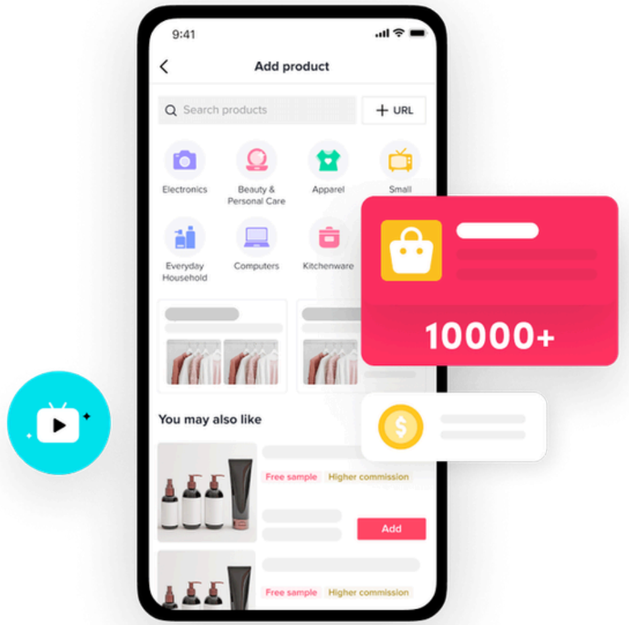




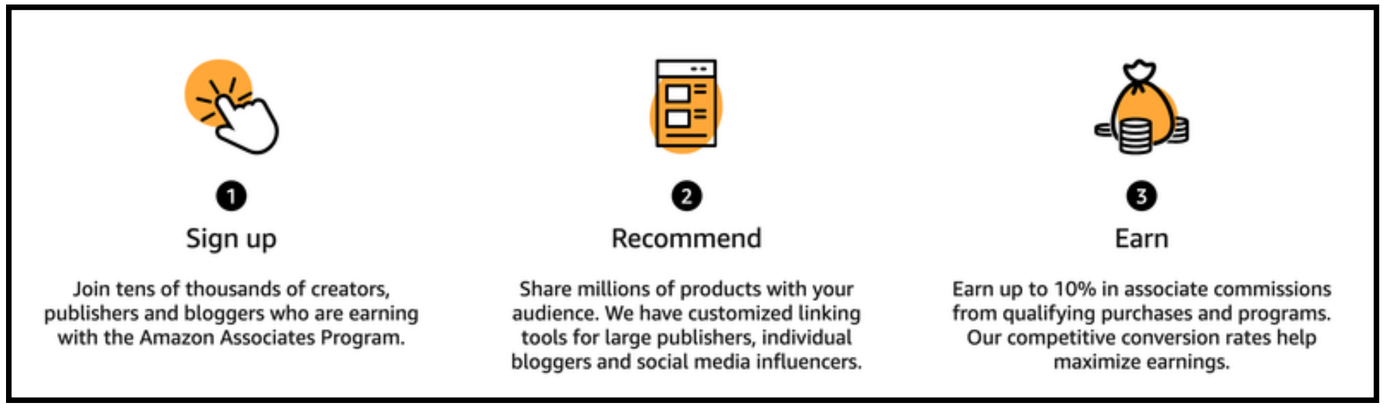
Current Affiliate Link Landscape

Pinterest Competition:

- **Tik-Tok**
  - High-Engagement Rates
  - Viral Potential
  - Integrated E-commerce
  - Influencer Impact



- **Amazon**
  - Direct Control & Flexibility
  - Comprehensive Analytics
  - High Conversion Rates
  - Global Reach



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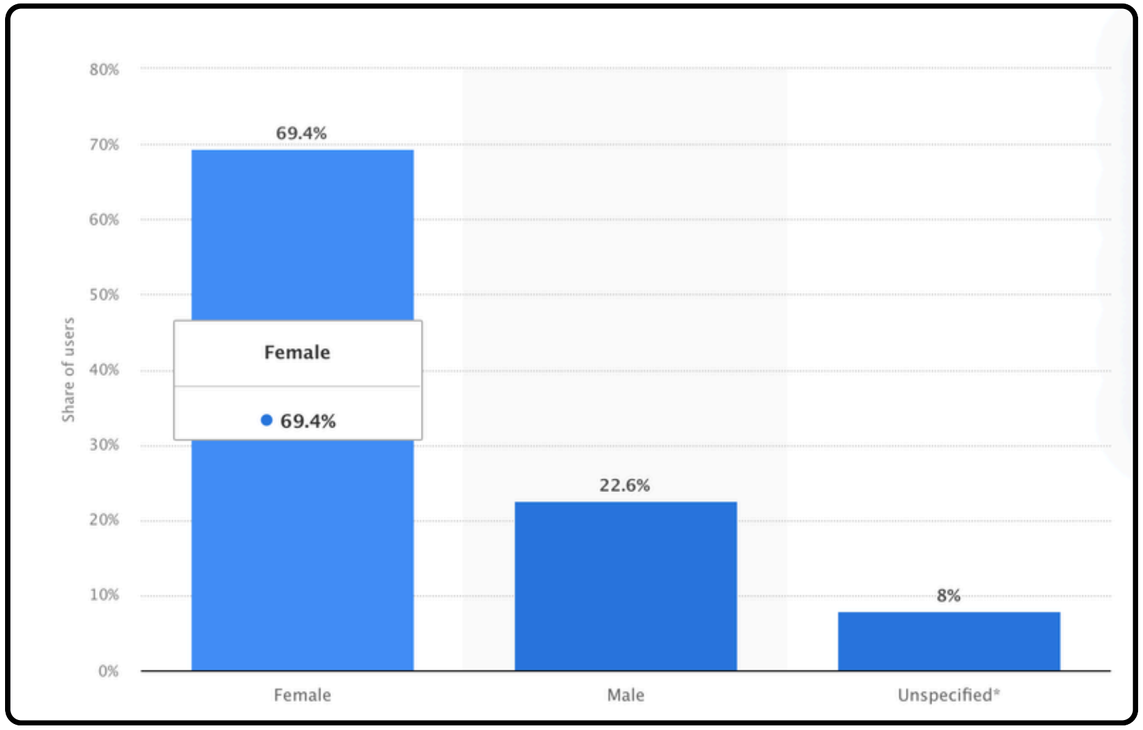
Pinterest is a "*STAR*" on the BCG Matrix

- **High**-Market Share
- **High** Growth Potential
- Status **Maintenance** is Key



User Behavior and Shopping Trends

- High Purchase Intent
- Product Discovery
- Purchase Influence
- Shopping Mindset + Spending Habits



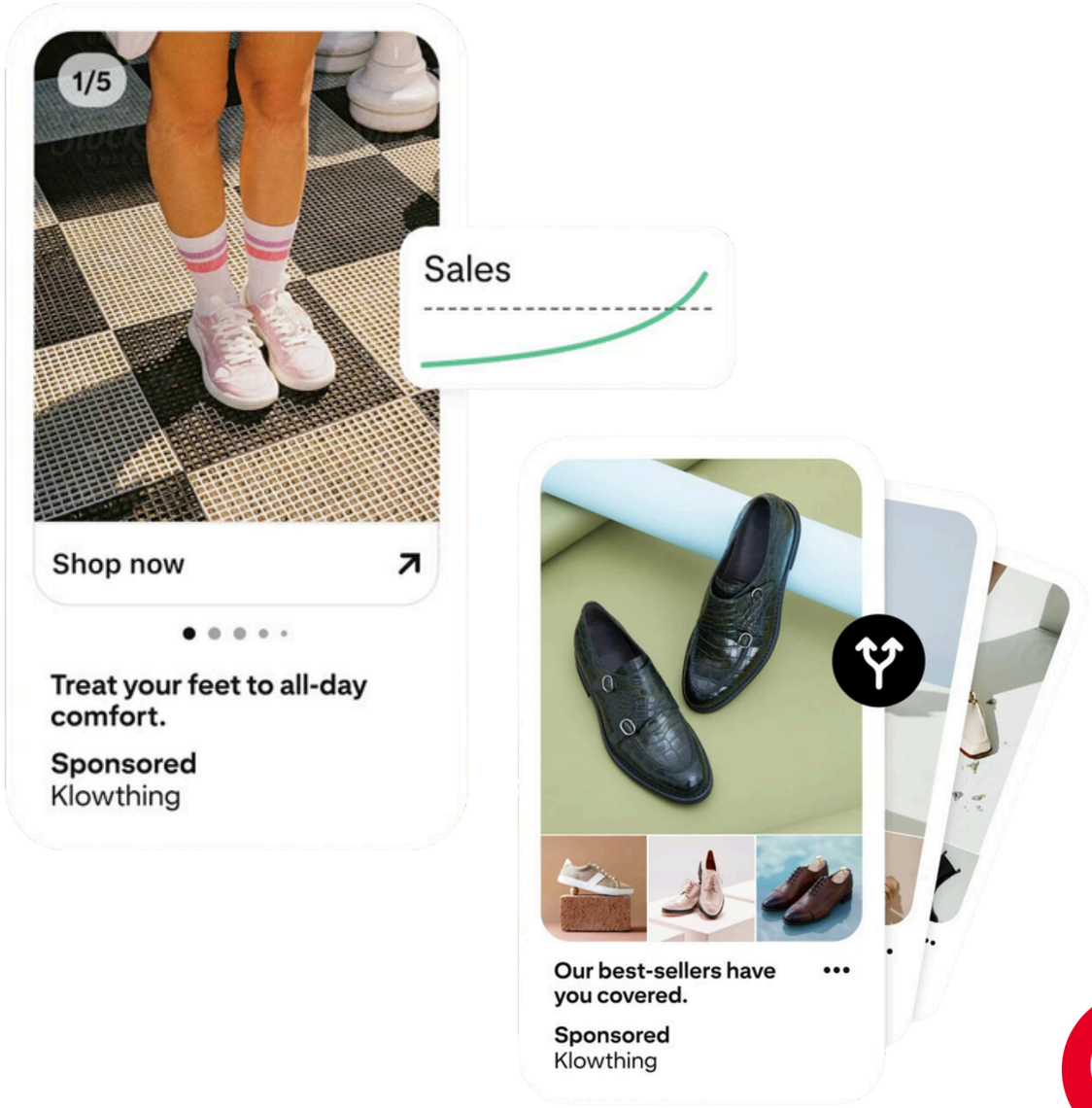
Demographics:

- About 70% Women & 23% Men
- 18-24 Age Group is 46% of Users

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Introducing Pinterest's In-House Affiliate Program

- A seamless, integrated tool within the existing Creator Program
- Convenience & accessibility for creators to manage all aspects of affiliate marketing on Pinterest
- A one-stop-shop experience for creating affiliate links, tracking performance, receiving commissions, & accessing resources + support



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How it Works for Creators: Simple, Transparent, and Rewarding

Generating Affiliate Links:

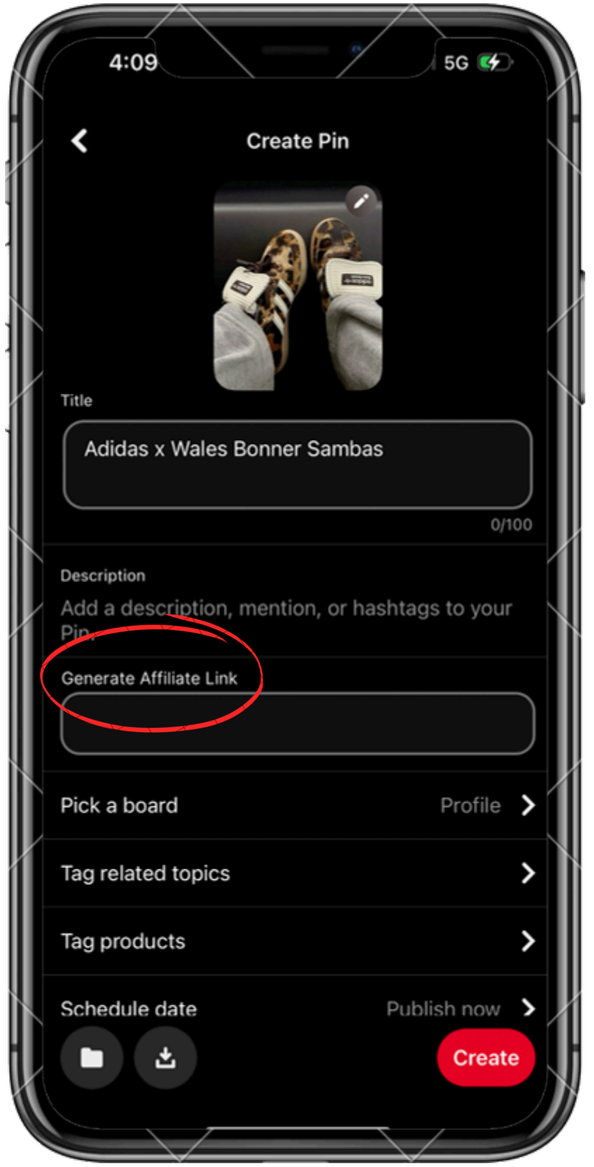
- Easy-to-use affiliate link creation tools directly within the Pin creation tool
- Ability to create affiliate links for a variety of products

Tracking Sales:

- Real-time performance dashboards to track clicks, conversions, and commission earned
- Detailed insights into audience engagement with affiliate content

Receiving Commission:

- Reliable and timely payouts directly into creators' designated accounts
- Clear and competitive commission structures

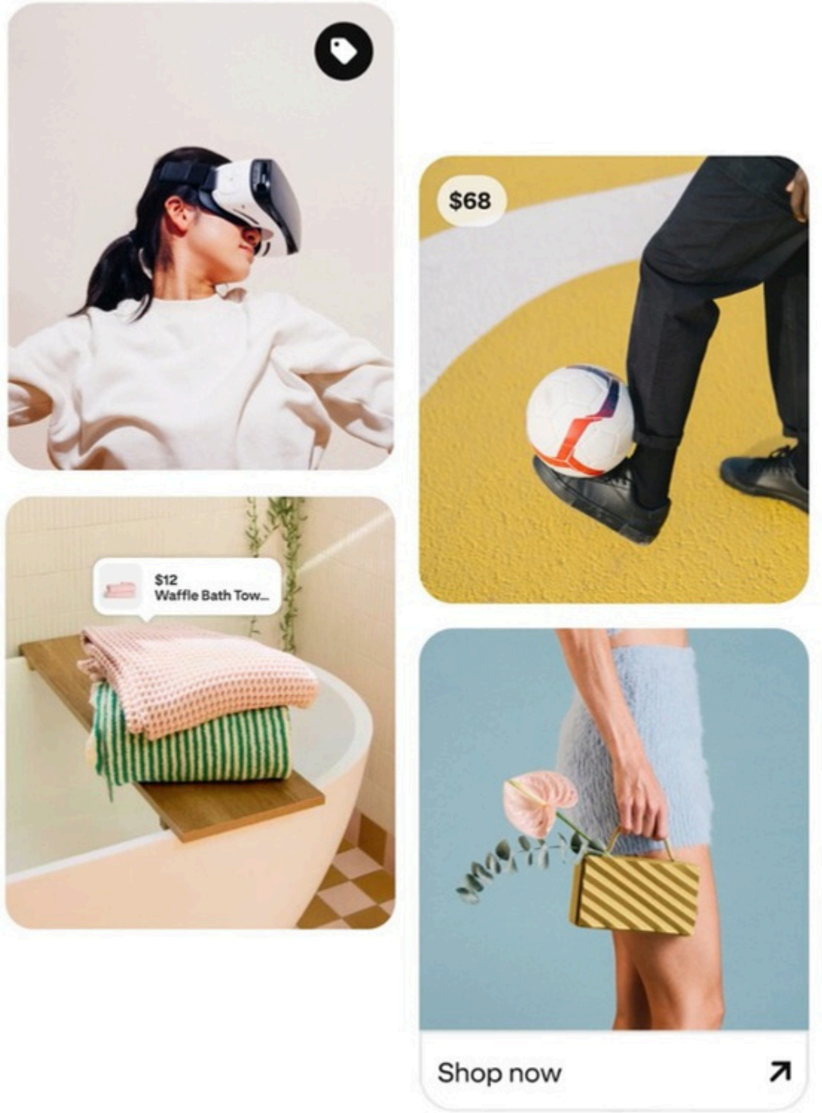


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Benefits: Why We're Enhancing Pinterest

Our Goals

- **Recapture Lost Revenue:**
  Pinterest will gain a share of the sales that have been going to external platforms that benefit off of their user base
- **Increased User Engagement:**
  A more streamlined shopping experience will lead to higher conversion rates & more purchases
- **Strengthened Creator Relationships:**
  Competitive commissions & ease of use will attract + retain top creators



Market Size:

537 million monthly active users

Shopping-Focused Users:

25% of MAUs actively shop on Pinterest = 134.25M users

Average Order Value (AOV):

$50

Affiliate Sales Volume Leakage (to Amazon/LTK):

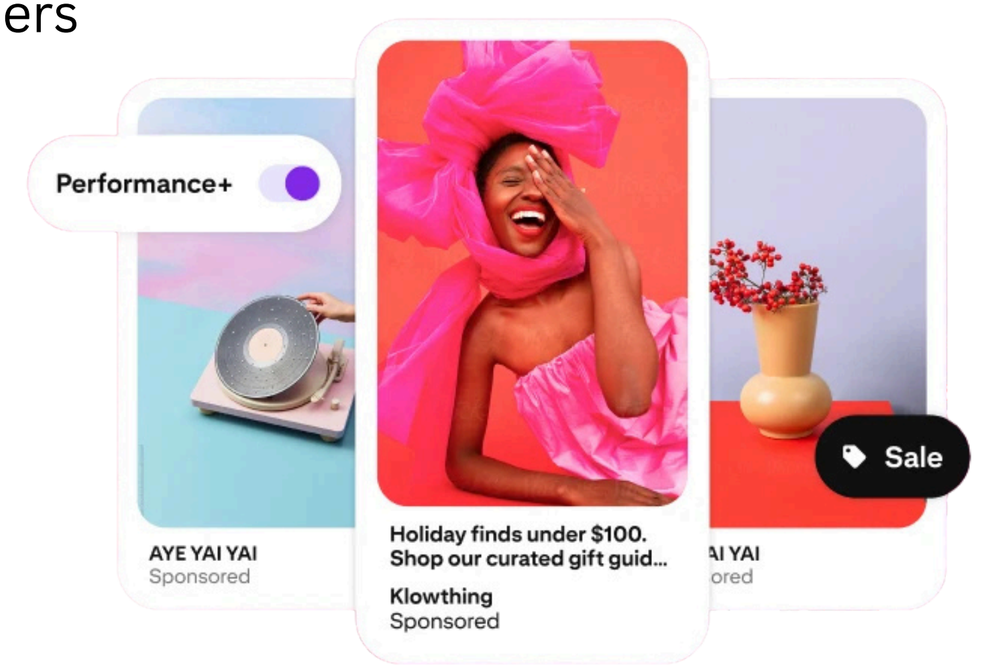
Assume 50% of current affiliate-driven sales are redirected to external platforms

Platform Commission Rate:

Pinterest introduces a 3% platform commission

Creator Commission Rate:

Assume 15% remains with creators



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Financial Projections

Total Sales Volume:

MAUs Shopping x Conversion Rate x AOV

Total Sales Volume Calculation:

134.25M x 1.5% x 50 = $100.69 million/month

Annual Total Sales Volume:

100.69M x 12 = $1.21 billion/year

Assume 50% of sales currently leak to Amazon/LTK:

Sales Leakage = 1.21B x 50% = $605 million/year

	Three Months Ended September 30,		
	2024	2023	% Change
Revenue - Global	$ 898	$ 763	18%
Revenue - U.S. and Canada	$ 719	$ 618	16%
Revenue - Europe	$ 137	$ 114	20%
Revenue - Rest of World	$ 42	$ 31	38%
MAUs - Global	537	482	11%
MAUs - U.S. and Canada	99	96	3%
MAUs - Europe	139	128	8%
MAUs - Rest of World	300	258	16%
ARPU - Global	$ 1.70	$ 1.61	5%
ARPU - U.S. and Canada	$ 7.31	$ 6.46	13%
ARPU - Europe	$ 1.00	$ 0.91	10%
ARPU - Rest of World	$ 0.14	$ 0.12	18%

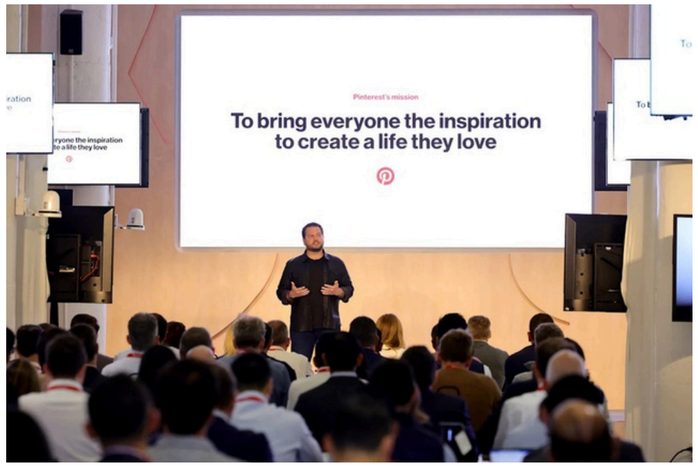
Q3 2024 Other Highlights

If Pinterest redirects these sales back to its platform, the recaptured sales volume is **$605 million/year**

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Pinterest earns a 3% platform commission from recaptured sales:

Pinterest Revenue=605M×3%=$18.15 million/year



If Pinterest becomes the preferred platform and eliminates leakage, it captures the entire $1.21 billion/year in affiliate sales.

Pinterest's revenue would then be:

Pinterest Revenue (Full Recapture)=1.21B×3%=$36.3 million/year

a. Engagement Boost:

- Assume users spend 10% more time on Pinterest due to affiliate-driven content
- This could directly increase ad impressions by a similar percentage

b. Ad Revenue Increase:

- Pinterest's 2023 ad revenue was approximately $2.5 billion
- A 10% increase in engagement could lead to an additional $250 million/year in ad revenue

c. Advertiser Growth:

- SMBs and new advertisers drawn by affiliate programs may contribute another 5%-10% growth in ad spend, adding $125M–$250M/year

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Key Takeaways

- **Market Opportunity:**
  - With 537 million monthly active users and 134.25 million shopping-focused users, Pinterest has a vast, untapped e-commerce market.
- **Addressing Sales Leakage:**
  - By redirecting the $605 million/year currently leaking to external platforms, Pinterest can reclaim substantial revenue and strengthen its affiliate ecosystem.
- **Financial Potential:**
  - Recapturing sales could yield **$18.15 million/year** in revenue with a 3% platform commission
  - Eliminating leakage entirely could increase this to **$36.3 million/year**.
- **Engagement and Ad Revenue Growth:**
  - Affiliate-driven content could boost user engagement by 10%, resulting in an additional $250M–$500M/year in advertising revenue from increased impressions and advertiser growth.

Conclusion: Shaping the Future of Shopping on Pinterest

A Strategic Imperative: Pinterest's evolution into a dynamic marketplace demands that we seize this opportunity to bring affiliate marketing in-house

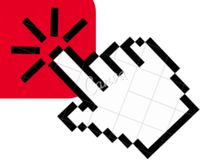
Empowering Creators: The program equips creators with the tools and resources they need to thrive, fostering a more vibrant and engaging creator community

Enhancing the User Experience: A seamless and integrated shopping experience keeps users on Pinterest, increasing satisfaction and driving conversions

Driving Sustainable Growth: The program is a strategic investment that unlocks significant revenue potential, strengthens Pinterest's position as a "Star," and ensures long-term success in the evolving world of e-commerce

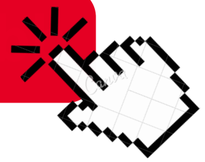
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For Creators



- Be ready to embrace this new opportunity to seamlessly monetize your content & connect with your audience in even more powerful ways

For Pinterest



- Together, let's build a future where inspiration & shopping are seamlessly intertwined, making Pinterest the ultimate destination for discovering & purchasing products that bring ideas to life

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Thank You!

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